



Economics

New Trends of Sri Lanka Economy Since Independence

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GCE ADVANCED LEVEL ENGLISH MEDIUM

Investigate the changes after the independence of sri lanka

Competency 12.0 : investigates economic structure and the economic policies of Sri Lanka

Comparatively Level 12.1 : Investigates the changes after the independence of Sri Lanka.

NO. of Periods : 08

Expected Learning outcomes :

Guideline to explain subject matters :

- Following economic characteristics after independence can be identified with some period
 - Period from 1948 – 1960
 - Period from 1961– 1977
 - Period from 1977 – 1994
 - Period from 1994– 2015
- Main characteristics of the period from 1948 – 1960
 - Operation with slight changes of colonial features
 - Influence of world bank over the economy for the first time
 - As an economic development strategy providing strong position towards agriculture and industries
 - Occurring an improvement in agriculture
 - Begin in 8 balance of payments deficit

- Characteristics of Sri Lanka economy for the period of 1961 – 1977
 - Implementation of inward looking economic policies
 - Controlling foreign exchange and operation of dual exchange rate system
 - Controlling of imports occurring of exchange rate crisis situation
 - Opening of import substitution industry policies
 - Diversification of exports
 - Opening of large scale state owned enterprises
 - Redistribution of property and assets
 - Reformation of exchange rates
- Characteristics of Sri Lankan economy for the period of 1978-1994
 - Implementation of export oriented industrial policies
 - Implementation of outward looking economic policies
 - Implementation of floating exchange rate system by removing fixed exchange rate system.
 - Elimination of controlling of exchange and controlling of exports.
 - Providing a room to determine price through demand and supply forces with an elimination of controlling policies.
 - Limitation of welfare policies
 - Economic Liberalization
 - Establishing investment promotion zones (IPZs)
 - Implementation of supply side policies such as privatization and restructuring.
 - Implementation of poverty eradicating policies
 - Implementation of economic reforms
- Characteristics of Sri Lankan economy for the period of 1994-2015
 - Implementation of open economic policies further through reformations that strengthen domestic economy.
 - Limitation of foreign investments
 - Slow operation of share market
 - Spent huge amount of money to end north-east war
 - Development of infrastructure
 - Direct towards large amount of foreign debt
 - Broad state assistance towards domestic agriculture and construction industries.

Import Substitution

Import Substitution Industrialization (ISI)

A policy that advocates replacing foreign imports with domestic production.

- Import substitution industry policies were implemented during the period of 1960-1977
 - Import substitution policy refers to limiting of imports and prepare a background to domestic production
 - Main objectives of import substitution policy are as follows.
 - Finds a solution for foreign exchange crisis
 - Improving domestic agriculture as a solution for world food crises
 - Development of small and medium scale industries to improve domestic economic growth.
 - Improving agricultural policies to control aggregate demand in order to overcome instabilities of macro economy.
- Main characteristics of import substitution policy are as follows.
 - Showing of policy framework of economic programme that implemented political ideology existed during the period of 1960-1977
 - It was a policy expected balanced growth in agricultural and industrial sectors.
 - It was a policy implemented as a solution for timely economic crisis situation rather than a policy focused on development strategies.
 - First ly luxury goods and non e essential goods imports were controlled and began producing those goods domestically while minimizing benefits gained by intermediaries

Export oriented industrial policy

Industrial policy: EOI

- Export-oriented industrialization
 - Definition
 - Promotion of manufacturing for foreign—not domestic—markets

Export oriented industrial policy

- Industrial policies with replacing imports are known as : export oriented Industrial policy
- Industrial policies which competitively targeting foreign market instead of production goods to the domestic market with replacing imports are known as export oriented industrial policies.
- Implementation of export oriented policies were started in Sri Lanka during the period after 1977 after introducing open economic policies or economic liberalization
- Main aim of an export oriented policy is the expansion of the share of world market through export competitiveness and export diversification rather than limiting imports.
- Other aims of export oriented policies implemented after 1977 in Sri Lanka are as follows.
 - Solving the balance of payments problems
 - Solving the foreign exchange problems
 - Promotion of export industries as an economic development strategy
 - Attracting foreign investments towards industries which target export
 - Promotion of industries that target exports to expand employment opportunities.

- It is an economic policy implemented to support open economic policy
- Eliminating of limits of exports and imports to facilitate free trade
- Eliminating of foreign exchange limits
- Establishing of fixed exchange rate system.
- Devaluation of existed currency by 100% in order to encourage of foreign exchange
- Lighten foreign exchange market activities and grant permission for foreign banks and financial institutions to enter into the country.

- Establishing of free trade intermediates goods and capital goods to encourage export industrial based on imports (production of textiles and garments).
- The efficient of export oriented economic policy over the economy.
 - Increase in export competitiveness
 - Export diversification without concentrating n\only on tea, rubber and coconut.
 - Expansion of export market
 - Modernization of export marketing activities
 - Improvement of export earnings
 - Expansion of export based industries
- Increase in domestic employment
- Increase of personal income
- Improvement of infrastructure due to the emergency of free markets (ports, air ports, road transportation).
- Expansion of economic activities related to free trade.
- Increase in secondary income due to export of labour and friends solutions for balance of payments problems.
- Decrease in poverty
- Increase in savings
- Increase in wages at the labour market due to lack of trained labour.
- Find a solution of social capital deficit due to the flow of foreign investment.
- Flow of foreign technology
- Flow of foreign trained labour
- An expansionary effect over total economy's aggregate demand, price level and employment.

★Structural changes in sri lankan economy★

- Structural changes took place within Sri Lankan economy can be presented as follows.
 - structural changes of gross domestic product
 - structural changes of employment
 - Structure of gross domestic production changes as follows.
 - Decrease in percentage importance of agricultural sector
 - Increase in percentage importance of industrial sector
 - Increase in percentage importance of services sector
- Example : Decrease in percentage importance and agriculture
 Increase in percentage importance and Industrial
 Increase in percentage importance and Service sector

- Structure of employment changed timely.
- Percentage of employment in Agricultural sector has been decreased.
- Percentage of employment in industrial sector has been increased.
- Percentage of employment in industrial services has been increased.

Employment from 1963 – 2016

Sector	1963	1973	1981/82	1996/97	2003/04	2013	2015	2016
Agricultural	46.3	37.8	28.6	27.6	26.3	19.9	8.5	8.1
Industrial	36.9	45.4	47.9	42.8	47.7	52.8	54.6	56.3
Services	37	34	29	37	40	40	44	44

- Few reasons can be shown for the decrease in percentage importance of agriculture sector and increase in percentage importance of industrial and services sector within sectorial composition of employment of gross domestic product as follows.
- Increase in labour productivity of agricultural sector when transferring excess labour in agricultural towards industrial sector.
- Increase in income of industrial sector employees, when increasing industrial sector employment.
- When increasing of industrial sector employees there will be high income elasticity of demand for industrial goods and services.
- Within demand structure when demand for industrial products and services increase rapidly than agricultural products change in production structure along with it.
- It is seen that after 1977 as Sri Lanka transferred to a more open economic style an increase in the trend of Sri Lankan employees towards foreign employment. As a result the value of worker remittances have been increased.

Foreign employment	2017		2015		2016	
	Number	Percentage	Number	Percentage	Number	Percentage
Total foreign employment	30073	100	263443	100	242930	100
by gender						
Male	190217	63.3	172788	65.6	16032	66.0
Female	110486	36.7	90655	34.4	82628	34.0
By manpower category						
Professional	5372	1.8	6251	2.4	6574	2.7
Middle level	20778	6.9	6951	2.6	8235	3.4
Clerical and related	29267	9.7	12501	4.7	19864	4.5
Skilled labour	73162	24.3	81682	31.0	76559	31.5
Semi-skilled labour	3977	1.3	4847	1.8	3939	1.6
Unskilled labour	79519	26.4	77985	29.6	71641	29.6
Housemaid	88628	29.5	73226	27.8	65127	26.8

Recent trends of foreign employment :

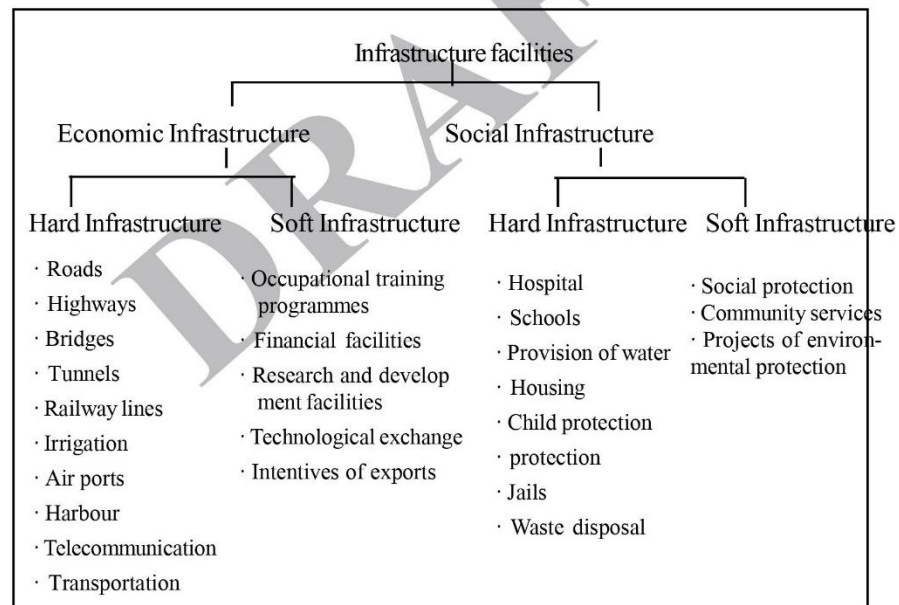
- It was recorded 7.8% decrease in the number of people who went abroad for foreign employment during 2016.

- Even with migration the depart of employment for Korea shows the development but large percentage include (97%) with unskilled labours.
- Foreign remittances inflows would be increased with skilled foreign employment increases.
- As proposed of a foreign employment bureau in the budge 2017, the minimum wage is \$ 350 for a unskilled labour and \$ 450 for skilled labour.
- The foreign currencies and other things which are sent by Sri Lankan labour of foreign employment is known as foreign remittances, Foreign remittances are the most importance one in the total foreign receipts of Sri Lanka.
- Foreign remittances of employees can be illustrated below

Origin2012					
	2013	2014	2015	2016	
1. Middle East	3358	3562	3902	3796	3889
2. European Union	1071	1160	1270	1222	1282
3. Asia	509	557	611	698	739
4. Other European Countries	275	308	337	307	333
5. North America	174	186	204	209	210
6. North South Asia	63	288	316	391	398
7. Australia and New Zealand	132	147	161	161	174
8. South Asia	90	83	91	98	109
9. North and Central America	48	58	63	63	51
10. Other	66	58	63	63	51
Total	5985	6407	7018	6980	7242

- Foreign remittances receipt recorded a moderate development in 2016. In the past years foreign remittances have decreased because of the decrease in the foreign employees of middle east gradually and decrease in demand of labour with the economic recession of middle east countries.
- Effects of foreign employment and foreign employment remittances.
 - Cause for decrease the unemployment
 - Increase the personal income
 - Decrease the poverty
 - Increase the small entrepreneurship by increase in household savings

- Increase in small entrepreneurs by increase in household savings
- Developing the foreign earnings
- Main solving for BOP problems
- Strengthen the foreign assets
- Increase in the foreign (external) value of currency.
- Increase in the wages level and a lack of skilled labour occurred in a labour market
- Contract the resource endowment when the skilled labour migrate to foreign countries.
- Occur the social problems. isolations, and unprotection of children with the migration of women for household service,
- The capital that supports increase the standard of living and to create and effectiveness of the production and exchange process is known as infrastructure, Infrastructure can be classified as follows.



- Investment for infrastructure refers to build structures of physical and organizations for supply necessary services and facilitates to operate the economy efficiency. Infrastructure is a important index that shows the development of a country or the regional development

- Infrastructure can be divided into two sub-topics as economic and social infrastructure. Economic infrastructure refers to roads, provision of water and facilities of water transportation, telecommunication facilities. Social infrastructure refers to schools, universities, hospitals, housing development.
- The investment of infrastructure contributes to the economic development in various ways. Insufficient infrastructure is a main barrier of the development process of a country. Unsatisfactory roads, traffic jam, taking more time to go a short distance, are the simple barriers for the development process.
- Developing the roads, bridges, harbor, railway lines, telecommunication net, irrigation facilities are very helpful for the economic development.
- Production and distribution of goods and services to the market can be done very easily and effectively when the infrastructure has developed.
- It has found out by the research and studies that long run production will develop by 1% with the 10% of infrastructure facility increase.
- Economic and social important factors of infrastructure facilities are,
 - Increasing the productivity
 - Increase in economic development rapidly
 - Cause to increase the attraction of foreign investors.
 - Cause to decrease the private cost of investors.
 - Cause to minimize the wastages.
 - Efficiency in the management and coordination.
 - Cause for social development.
 - Cause for increased human capital
 - Increase in the economic competition.
- There are several sources approaching infrastructure development.
 - Government investments for infrastructure.
 - Voluntary investments for infrastructure.
 - Public private partnership for infrastructure.

Government investments for infrastructure can be illustrated below

Government investments for infrastructure.

Year	Economic services		social services		Total	
	Rs Billion	As a percent-age of G.D.P	Rs Billion	As a percent-age of G.D.P	රුපියල් බිලියන	As a percent-age of G.D.P
2012	343.8	3.9	71.2	0.8	415.0	4.8
2013	369.4	3.9	77.6	0.8	447.0	4.7
2014	330.1	3.2	112.3	1.1	442.5	4.4
2015	429.0	3.6	117.3	1.0	541.3	4.6

- There are nearly 5% of government investments as a percentage of Gross Domestic Product for infrastructure development in Sri Lanka.
- But it is necessary to improve the development of infrastructure. Investment is a process to increase the competition of the economy, to reach the maximizing level of economic growth and to increase the attraction of the direct foreign investments. The powerful barriers for this situations are the limitation of government revenue, preventing the increasing of government loans, limitedness of the capability of debt payments. According to this situation, it is important increase the attraction of private investments to supply the infrastructure under the public private partnership.
- The approval for establish a unit of public private partnership in the ministry of finance with the supporting of USAID institute and the world bank has received to encourage the private sector for development of infrastructure under the public private partnership.
- It should be creative suitable regulation and administration mechanism to encourage private investment and increase the quality of services and certify a fair prices and the knowledge of politicians and policy formulators by encouraging policy frame of public private partnership. It should be completed the former requirements like fixed policies, good governance, increasing the capability of institutions, transparency, productive regulations and efficiency financial markets to promote the private investments in economic and social infrastructure. Herewith, the infrastructure. Projects should be focused to a broad study to identify priorities of project how to gain more beneficial to confirm the efficiency of the resource allocating.

The public and private partnership for infrastructure development.

- “The public private partnership is a successful methodology in development of infrastructure.. The projects can be activated by choosing the possible activities themselves which they can do possibly by involving both parties on behalf of doing activities by private sector or public sector.

- Because of this human capital accumulation has decreased.
- The funds which are used for research and development are in a low level.
- Because of the industrial progress based on low competency and low wages in Sri Lanka it has been decreased the capability of trend to the process of knowledge based economic growth.
- Limited the foreign donations and aid for Sri Lanka with transferring from lower income earning country to a lower middle income earning country.
- Because of this amount of money for investment activities education, trainings, research and development has decreased.
- The opportunities of capital formation has been decreased because of the most direct foreign investment inflows to labour intensive method with less technology industries.
 - The following components has been used for create the knowledge economic index.
 - Economic incentive and structure of the institution.
 - Innovations and trend to utilizing the technology.
- The countries which have got the dominant place according to the index in the year index 2012. Sweden, Finland, Denmark, Netherland, Norway
- After the independence of Sri Lanka, more profits of development projects are gained by the urban sector. Because of these high level economic growth and social development has occurred in Colombo district of the western province.
- The balance regional development projects has to operate in selected districts because of that other provinces and districts are owned low development level parallel to that.
- In east northern and Uva unemployment, inequality income distribution and poverty are in high level and infrastructure and poverty are in high level and infrastructure and development of human competency is in low level. Because of that it is necessity to operating regional development programs that districts, The various types of project has been identified.
- price level
- interest ratio
- international trade
- balance of payment
- foreign exchange ratio
- capital market
- There are several examples for domestic effecting phenomenon to the economy.
- Change in government power.

Example :

- Because of the open economic policies operated by the new government which came into power in 1977, perfectly changed the foreign trade pattern, domestic trade pattern, structure of industry, financial and banking system.



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